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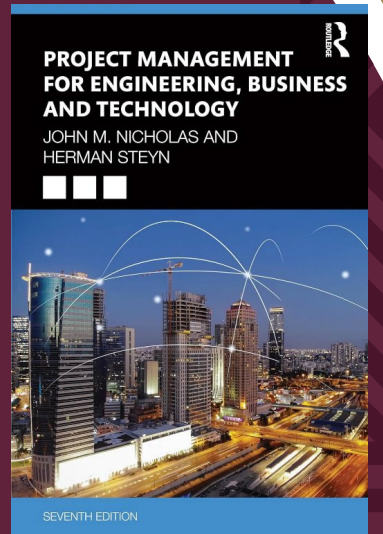
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CHAPTER 15: PROJECT ORGANISATION STRUCTURE AND INTEGRATION

Dr Zee

Adapted from slides
prepared by

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Handbook



- 15.1 Formal Organisation Structure
- 15.2 Organisational Design by Differentiation and Integration
- 15.3 Requirements of Project Organisations
- 15.4 Integration of Subunits in Projects
- 15.5 Liaison Roles, Task Forces and Teams
- 15.6 Project Expeditors and Coordinators
- 15.7 Pure Project Organisations
- 15.8 Matrix Organisations
- 15.9 Selecting an Organisation form for Projects
- 15.10 Project Office and PMO
- 15.11 Integration in Large-scale Projects
- 15.12 Integration in Systems Development Projects
- 15.13 Concurrent Engineering

Introduction



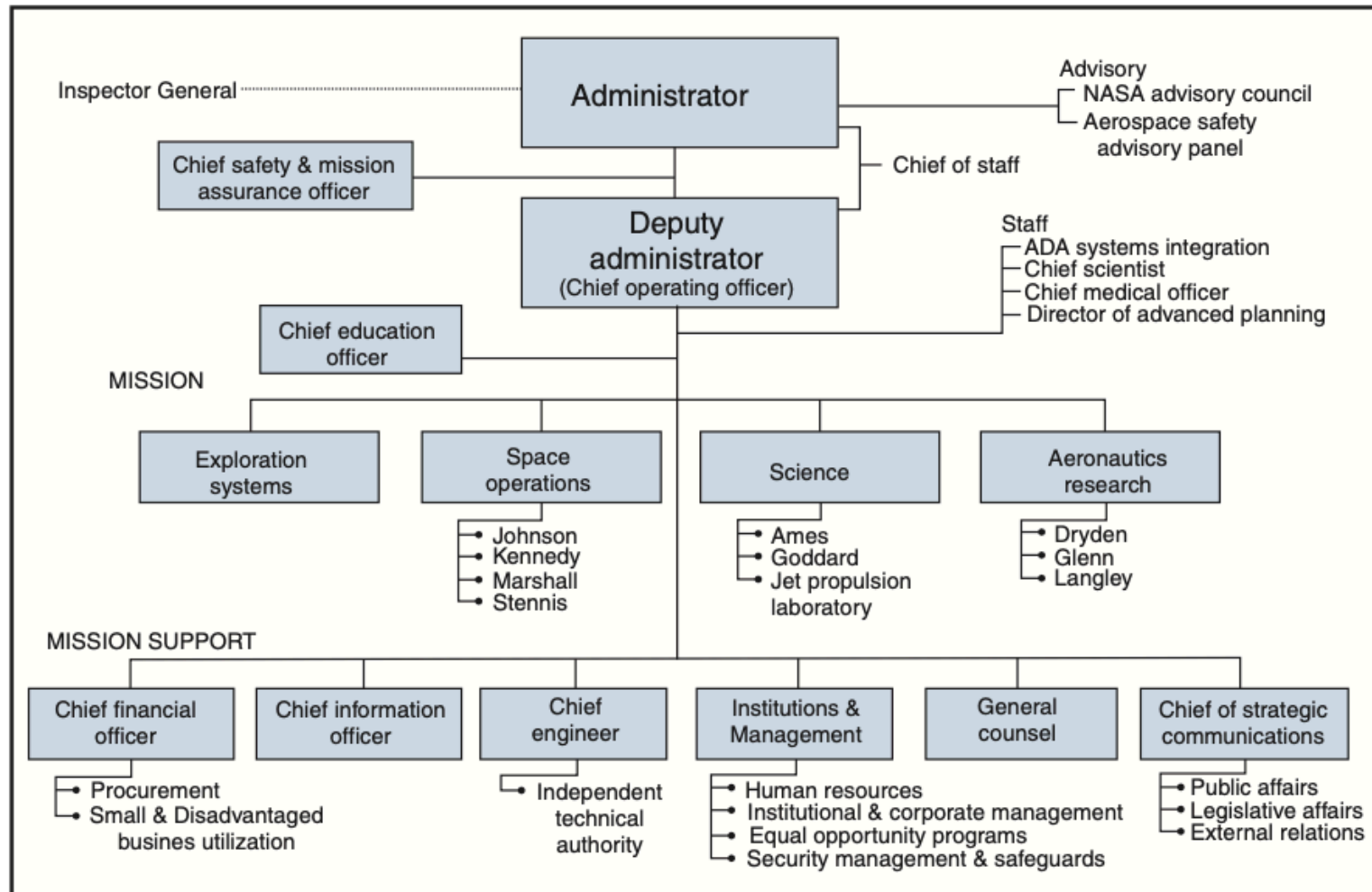
- This session deals with how we structure our organisation to facilitate the project(s) we take on within the organisation
- As well as the project integration within these organisations

15.1 Formal Organisation Structure (1)



- Organisational structures shows:
 - Organisational activities, divisions and sub-divisions
 - Management hierarchy and reporting lines
 - Official authority lines and communication lines

15.1 Formal Organisation Structure (2)



15.2 Organisational Design by Differentiation & Integration (1)



- The organisational structure depends on the organisation's needs
- The structure depends on:
 - The organisation's goals
 - Type of work
 - Available resources
 - And economic and demographic environment
- The structure is the output of an evolutionary process, developed over time to fit the most current need of the organisation

15.2 Organisational Design by Differentiation & Integration (2)



- Organisations structure themselves based on their specific needs, i.e. differentiation. Traditional organisation can differentiate themselves on the following basis:
 - Functional
 - Geographic
 - Product
 - Customer
 - Process

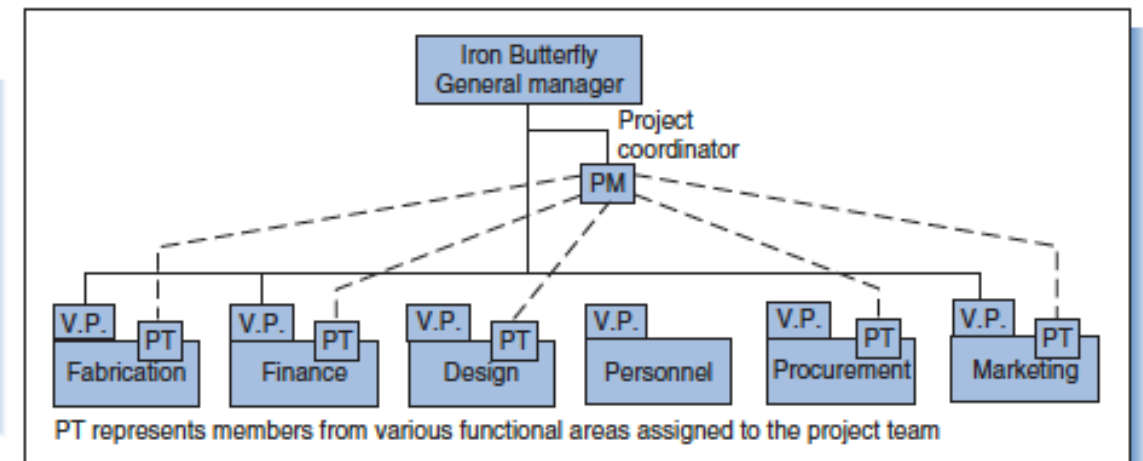
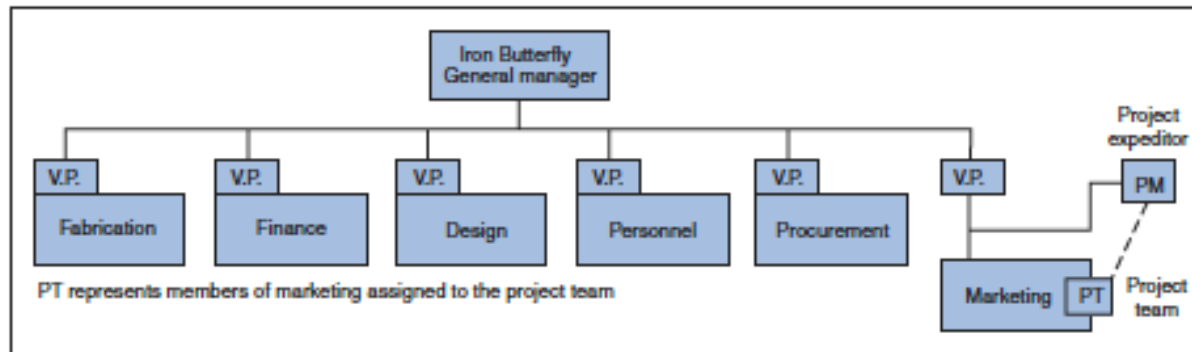
15.3 Requirements of Project Organisations



- Remember, the project organisation, is different from the business organisation (or organisational structure)
- But the project “sits” within the organisation, so there must be integration between the business and the project
- This also depends on the role the project play within the project
- Project integration into the business must happen on two levels:
 - Integration of Subunits in Projects ([Section 15.4](#))
 - Integration and liaison of roles and teams ([Section 15.5](#))

15.6 Project Expeditors and Coordinators

- The question here is, who has control over the project (the Project Manager) and where in the organisation does he/she resides in (the department or function) ?
- Two types: Projects within one functional area (not often), and Multifunctional project teams



15.7 Pure Project Organisations (1)



- What about projects with high complexity and need for high level of commitment?
- Structure 100% committed towards the project
 - Separate structure, or even own business/company
- Pure project manager – 100% committed only to the one project
- Tapping from own internal (100% dedicated towards the project) team and resources

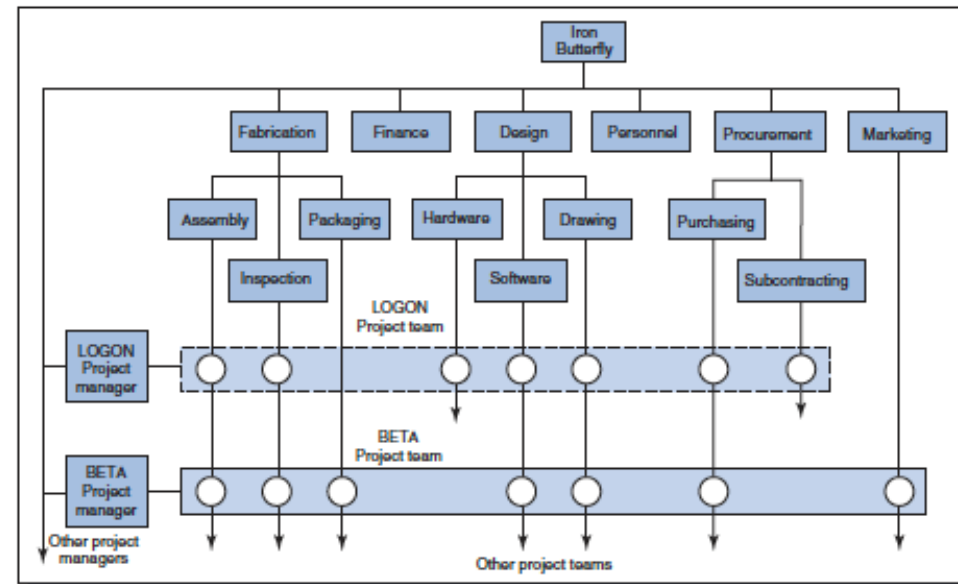
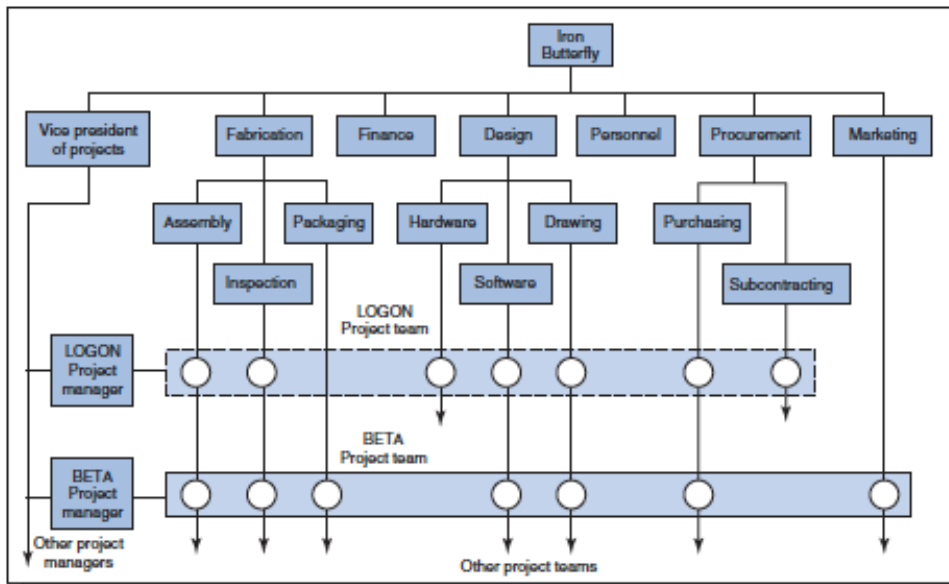
15.7 Pure Project Organisations (2)



- Three variations of pure project organisations exist:
 - Project centre
 - Partial project
 - Stand-alone project
- Disadvantages of pure project organisations:
 - Cost – resources 100% committed to the project(s)
 - No functional managers – no emphasises on competency development
 - Pure project organisation are strictly temporary – fate of the project teams and project manager is uncertain.

15.8 Matrix Organisations (1)

- What about multi-project organisations with a need to create large project groups quickly without tying their resources fully to the project?
- A functional organisation, with the ability to cross functionally tap from resources throughout the organisation – from a central point of project control



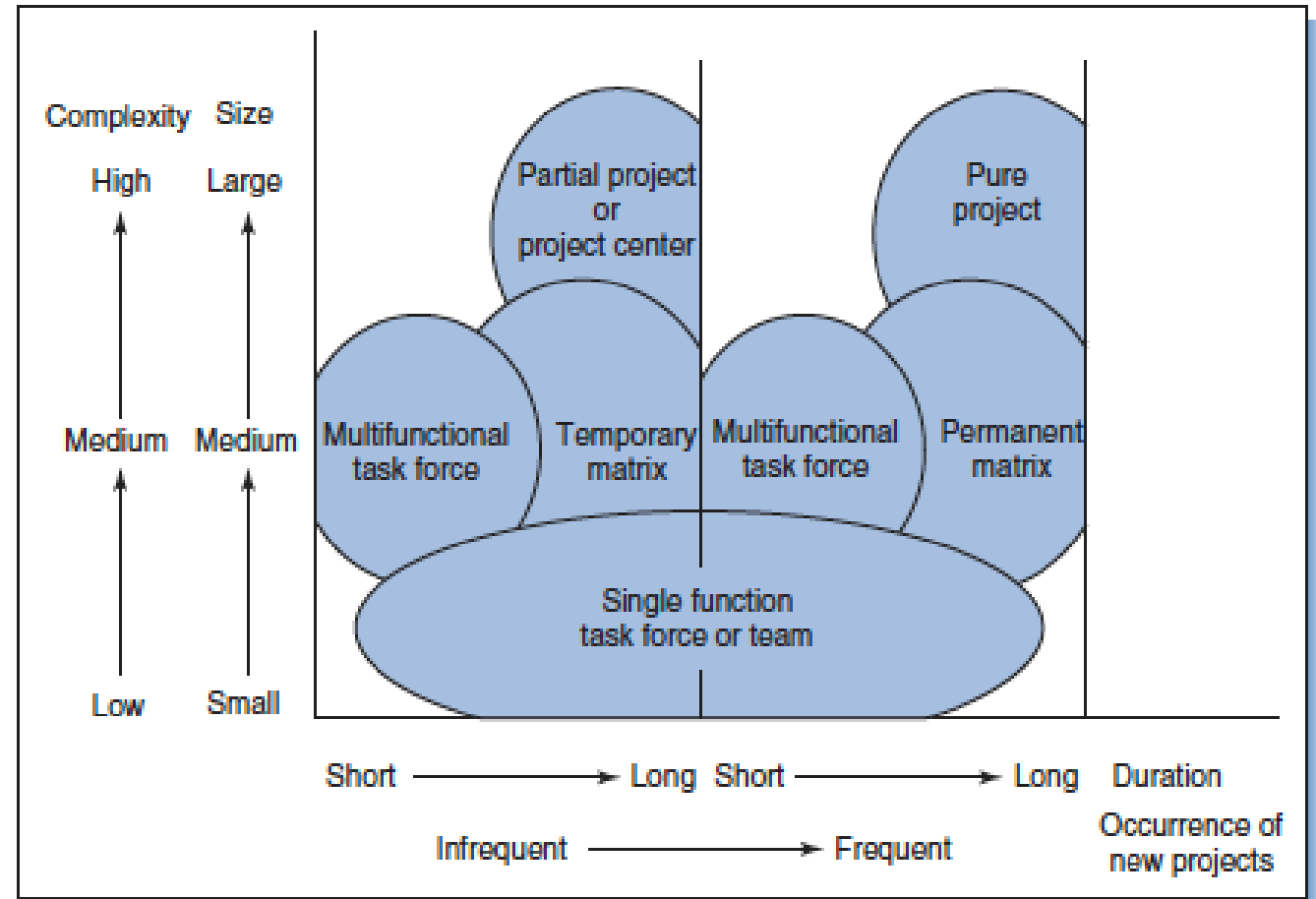
15.8 Matrix Organisations (2)



- Main benefit of matrix organisations is the combined horizontal and vertical integration
- Drawbacks of matrix structures:
 - Power conflict between project managers and functional managers
 - Project support or resources confused, juggle between the two bosses
- Functional managers have a say in how tasks should be done
- Project managers have a say in what should be done

15.9 Selecting an Organisation form for Projects

- Criteria:
 - Frequency of new projects
 - Duration of projects
 - Size of projects
 - Complexity of relationships



15.10 Project office and PMO



- Project office:
 - Office where the project team and project support staff work and(or) meet
- Office from which planning, directing and controlling of project activities are done
- When this office must coordinate multiple projects in large organisation, linking integration between management and projects, we call this the Project Management Office (or PMO)
 - Support office that develops project management policy and methodology in the organisation

Thank you
Enkosi
Dankie



Photo by Stefan Els